fare measures, including electricity bill relief, "are to empower people, and anyone calling these freebies is degrading our public and treating them as beggars". Amit Mitra, the former finance minister of West Bengal, accused the Centre of double-speak and said the government's own welfare schemes could be construed as freebies under Modi's *revdi* classification. He believes that "cash transfers and free facilities for poor, downtrodden people generate demand and boost economic growth".

The beneficial effects of welfare spending have been well documented. Citing the example of the national rural employment guarantee scheme, Shamika Ravi, vice president, economic policy, at the Observer Research Foundation, New Delhi, says: "We have enough literature to show that programmes like MNREGA have contributed to the declining poverty in the states." She adds a rider, however: "You must spend on development for equitable growth." Scandinavian countries, she says, are welfare states because they have generated massive wealth. Economic growth, according to her, is a necessary condition. She holds Punjab as an example of how a once-prosperous state lost out on economic growth. With an emphasis on the country's food security and the state's overarching role in it, industrial sops were replaced with ones for farmers and agriculture. Having to massively cross-subsidise agriculture, industry in Punjab moved to Haryana, Rajasthan and Himachal Pradesh, compromising Punjab's economic growth.

THE DEBT TRAP

Since there's no such thing as a free lunch, state governments over the years have been redirecting revenue receipts to freebies from subsidies. This has placed an unsustainable debt burden on states. The cumulative debt of the states was 31.3 per cent of the GDP in FY21, and almost touched 32 per cent in 2022. They will have to work really hard to meet the 20 per cent target the FRBM review committee has set for FY23. The RBI's bulletin, too, noted how subsidies have crowded out resources for other useful purposes. While subsidies accounted for an average 12 per cent of states' expenditure, other committed expenditures, such as salaries and pensions, along with social sector expenditures, also contributed to the stressed balance-sheets of states.

Officials in various states confessed that their balance-sheets were also bleeding because they borrowed funds to compensate for the revenue lost due to Covid restrictions and taking over the debts of their discoms under the 2015 UDAY scheme. The ever-bloating discom dues indeed remain a constant source of worry. Power subsidies are one of the biggest pain points for the managers of state funds. In Punjab, Andhra Pradesh and Telangana, the governments have been unable to discontinue free power despite several efforts. The latest to join the bandwagon is the Yogi government in UP. Just before the assembly polls, the chief minister announced a 50 per cent rebate in electricity rates for farmers and urban users who own private tube wells. It is expected to benefit close to 1.2 million consumers, but at a cost of Rs 2,200 crore. Discontinuing free or heavily subsidised power is a fraught decision for any political party. Some, like the DMK, also think such subsidies are necessary. In its petition before the apex court, the party maintained that schemes such as free electricity "can have a multi-dimensional effect on a poor household. Electricity can provide lighting, heating and cooling, resulting in a better standard of living. It can facilitate a child in education and studies".

EXPERTS ADVOCATE SEVERAL LEVELS OF INSTITUTIONALISED CHECKS, INCLUDING STATUTORY CONSTRAINTS, CAG AUDITS AND THE ELECTION COMMISSION, SO THAT STATE GOVTS DON'T GO ASTRAY

CAN STATES BECOME MINI-LANKAS?

The states are staring at twin challenges—the revenue deficit and a fiscal one. Their revenue is not expanding as much as they would like it to, whereas their expenses to fund social sector commitments are galloping. The states spend an average 90 per cent of their revenues to fund expenditure like salaries, pensions, subsidies in the form of freebies, leaving less for capital creation that has a higher multiplier effect on growth. The RBI paper shows that states spent an average of 3.1 per cent of their GSDP on capital expenditure when it should ideally be more than 10 per cent to encourage robust growth. Now that GST compensation has ended from June 30, the struggle for funds is likely to increase, especially in states where GST compensation exceeded 35 per cent of their revenue. Revenues from the states' own resources have also stagnated. On average, they have remained around 7 per cent of the GDP in the past five years. The share of interest payments in revenue receipts, meanwhile, is an alarmingly high 20 per cent in most states.

Could a state in India go bankrupt like the nation of Sri Lanka did? Unlikely. The state governments are technically part of the Union government. Whenever a state is in financial crisis, the Centre comes to its rescue, either by releasing its dues in advance or by allowing it to raise additional loans. Such a strategy may prevent a state government from defaulting on debt servicing or payment of staff salaries, but pushes it deeper into debt and deficit. "Such cumulative profligacy on the part of states has the potential to jeopardise the country's macro fiscal stability. It does the same," says Aditya Malik of CIEU, or the Council for International Economic Understanding, in Delhi.

At the Dharamsala conference of chief secretaries of all states on June 15 and 16, finance secretary T.V. Somanathan